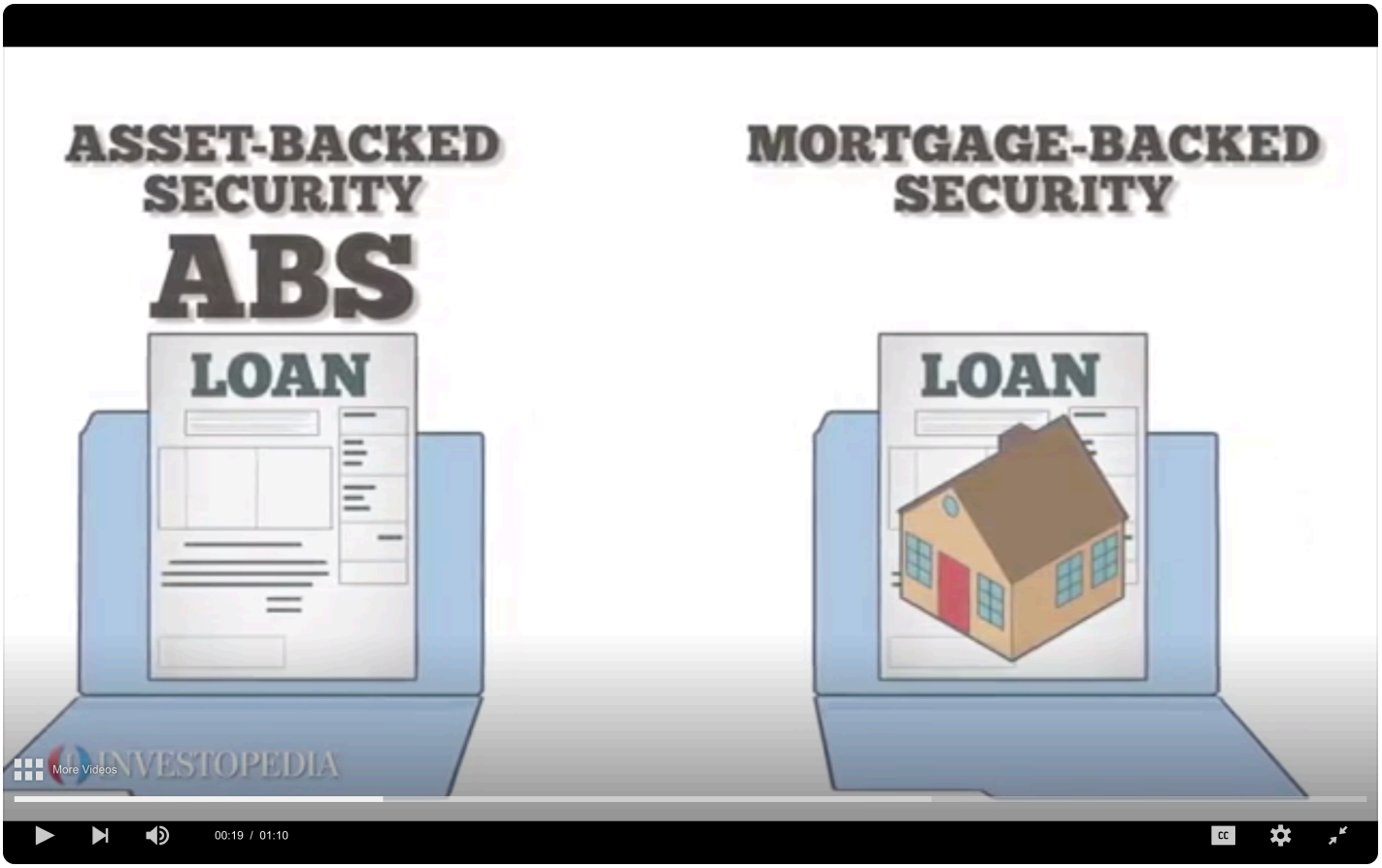
Mortgage Backed Securities

Mortgage-backed securities (MBS) are investments like bonds. Each MBS is a share in of a bundle of home loans and other real estate debt bought from the banks or government entities that issued them. Investors in mortgage-backed securities receive periodic payments like bond coupon payments.



How Mortgage-Backed Securities Work

The best way to understand MBS is to see how they are formed in the first place. Let's walk you through the steps:

1. **Origination**: A financial institution, such as a bank, provides mortgages to homebuyers. These loans are secured by the properties being bought.
2. **Pooling**: The bank and other institutions pool many of these mortgage loans. The loans in the pool typically have similar characteristics, such as interest rates and maturity dates.
3. **Securitization**: The pooled mortgages are sold to a trust, a GSE like Fannie Mae, Freddie Mac, a government agency like Ginnie Mae, or a private financial institution. The trust then structures these loans into MBS.
4. **Issuance**: The MBS are issued and sold to investors. The securities are backed by mortgage loans in the pool. In the case of agency MBS, they are further guaranteed by the GSE or government agency, providing additional security to investors.
5. **Servicing**: A mortgage servicer collects monthly mortgage payments from borrowers and distributes these payments to MBS investors. The servicer also handles administrative tasks such as managing escrow accounts and dealing with delinquencies.
6. **Investment**: Investors buy MBS, effectively lending money to homebuyers in the pool. In return, they receive periodic payments, including interest and principal repayments from the underlying mortgages.

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Types of Mortgage-Backed Securities

These are the two broadest types of MBSs: pass-throughs and collateralized mortgage obligations (CMOs). Beneath them is a table with descriptions for other major types within these MBS.

1. **Pass-throughs**: Pass-throughs are structured as trusts in which mortgage payments are collected and passed to investors. They typically have stated maturities of five, 15, or 30 years. The life of a pass-through may be less than the stated maturity depending on the principal payments on the mortgages that make up the pass-through.
2. **Collateralized mortgage obligations (CMOs)**: CMOs consist of multiple pools of securities known as slices or tranches. The tranches are given credit ratings, which determine the rates that are returned to investors. Tranches within an MBS can have different credit risk profiles.

Table 2

Major Types of MBS	MBS Type/Acronyms	Issuer 2	Risk Profile 2	Investor Suitability 2
Pass-Through Securities	Pool of mortgages where principal and interest payments are passed through to investors pro-rata.	Government Sponsored Enterprises (GSEs) like Fannie Mae and Freddie Mac	Lower risk due to GSE backing.	Investors seeking consistent income and moderate risk.
Collateralized Mortgage Obligations (CMOs)	A type of collateralized debt obligation (CDO) is an MBS divided into tranches with varying maturities and risk profiles, offering different expected returns.	Private financial institutions	Varying risk levels depending on the tranche.	Investors with different risk tolerances and income preferences.
Agency MBS	Issued or guaranteed by government-sponsored enterprises (GSEs) like Fannie Mae and Freddie Mac.	Fannie Mae, Freddie Mac	Lower risk due to implicit government backing.	Investors seeking relatively safe investments with moderate yields.
Non-Agency MBS	Issued by private entities, not backed by government guarantees.	Private financial institutions	Higher risk due to lack of government backing.	Investors with higher risk tolerance seeking potentially higher yields.
Commercial Mortgage-Backed Securities (CMBS)	Commercial properties like office buildings, shopping centers, and hotels back them.	Private financial institutions	Moderate to high risk depending on property types and economic conditions.	Institutional investors and high-net-worth individuals seeking exposure to commercial real estate.

Residential Mortgage-Backed Securities (RMBS)	Backed by residential mortgage loans, typically for single-family homes or condos.	GSEs or private financial institutions	Risk varies depending on the underlying mortgages and issuer.	Investors seeking exposure to the residential housing market with varying risk appetites.
Stripped Mortgage-Backed Securities (SMBS)	Separates the principal and interest payments into separate securities.	Investment banks	Higher risk due to prepayment and interest rate risks.	Sophisticated investors who understand the complexities of mortgage-backed securities.